

Sustainability Reporting Standards

(2 Credit)

Syllabus

• Module - 1 - Introduction to Sustainability and Reporting Frameworks - Part - I

• Module - 2 - Introduction to Sustainability and Reporting Frameworks - Part - II

It is important to understand the concept of sustainability reporting because it is used in many international meetings. People become confused about its actual meaning.

Origin of the Definition of Sustainability:
The most widely accepted definition of sustainability was given in 1987 by the World Commission on Environment and Development (WCED), also called as the Brundtland Commission chaired by Gro Harlem Brundtland, the former Prime Minister of Norway.

The United Nations formed this Commission in 1988 because the world was facing serious environmental problems such as:

1/ Deforestation (Cutting of forests)
2/ Ocean Pollution
3/ Damage to the ozone layer

Module - 1 - Introduction to Sustainability and Reporting Frameworks - Part - I.

What is Sustainability?

→ Today, the word Sustainability is used everywhere that is in businesses, government Policies, advertisements, annual reports, and international meetings. Because it is used so frequently, many people become Confused about its actual meaning.

It is important to understand the Correct meaning because Sustainability reporting is now a part of business reporting.

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The United Nations formed this Commission in 1983 because the world was facing serious environmental problems such as:

- 1) Deforestation (cutting of forests).
- 2) Ocean Pollution.
- 3) Damage to the ozone layer.

- 4) Extinction of Plants and animals.
- 5) Increasing environmental degradation.

The Commission studied whether economic development could continue without destroying the environment.

Brundtland Definition of Sustainable Development.

"Sustainable development is development that meets the needs of the present without compromising the ability of future generations to meet their own needs."

* Explanation of the Definition.

The definition has two parts:

1) Meeting the needs of the present

This means that development should improve people's quality of ~~the~~ life today. It focuses on economic growth, employment opportunities, poverty reduction, better education, healthcare, clean drinking water, and food security.

For example :- A company starts a factory that provides employment to local people and improves their standard of living.

This is good development because it satisfies Present needs.

2) Not Compromising the future generations

This means we should not use natural resources so carelessly that future generations are left with nothing. Future generations cannot protect their own interests today. Therefore, we must make responsible decisions on their behalf.

We should avoid excessive pollution, Deforestation, overuse of groundwater, Excessive Carbon emissions, and Destruction of biodiversity.

For example :- If a Company cuts all the trees in a forest for Profit without planting new trees, future generations will lose forests, Wildlife and Clean air.

This is not Sustainable development.

The Brundtland definition has a direct impact on accounting.

Traditional accounting records only financial costs and profits.

However, Sustainability accounting also considers environmental costs that businesses usually ignore.

These hidden environmental costs should be recognised because they affect society and future generations.

Examples:

1) Groundwater

Suppose a company extracts ~~good~~ groundwater faster than nature can replace it.

The company may earn profit today, but groundwater levels fall.

This is actually using up a natural asset.

Therefore, Sustainability accounting considers this an environmental cost.

2) Pollution:

Suppose a factory releases greenhouse gases into the atmosphere.

The company may not pay immediately for climate change, but society and future generations bear the cost.

This hidden environmental cost should also be considered.

* What is Sustainability Accounting?

Sustainability accounting means measuring and reporting not only financial performance but also environmental and social impacts.

It helps businesses understand the real cost of their activities.

Unlike traditional accounting, Sustainability accounting records.

- Environmental Costs.
- Social impacts.
- Resource depletion.
- Carbon emissions.
- Waste generation.

* Key Terms.

Term	Simple Meaning.
Sustainability	Using resources wisely so future generations can also use them.
Sustainable Development	Meeting today's needs without harming future generations' ability to meet their needs.
Brundtland Commission	UN Commission that gave the famous definition of Sustainable development in 1987.
Natural Capital	Natural resources like forests, water, land, air, and minerals.

Ecosystem Services.	Benefits provided by nature such as clean air, water, fertile soil, and climate regulation.
Sustainability Accounting	Accounting that records financial, env environmental, and social impacts of business.

* Sustainable Development is:

Development that meets the needs of the present without compromising ~~the~~ the ability of future generations to meet their own needs.

• Main Principles:

- 1) Meet present needs.
- 2) Protect future generations.
- 3) Balance economic growth, social welfare, and environmental protection.
- 4) Use natural resources responsibly.
- 5) Reduce pollution and conserve biodiversity.

• One-Line Conclusion.

Sustainability means achieving economic growth while protecting the environment and ensuring that future generations have enough resources to meet their own needs.

* How the Sustainability Concept evolved in business.

The journey from the Brundtland Commission's elegant definition to the complex, multi-dimensional regulatory framework of the BRSR took more than 30 years. Understanding this journey helps explain why sustainability reporting is structured the way it is today.

Each phase of its evolution was a response to specific failures in the previous approach, problems that had become too visible and costly to ignore.

Initially, businesses only followed environmental ^{loss} laws because they were compulsory. Later, companies realized that society, customers, investors, and governments expected them to act responsibly.

Today, sustainability has become an essential part of business strategy, and companies are required to disclose their sustainability performance through reports such as BRSR (Business Responsibility and Sustainability Report).

Phase 1: Environmental Compliance (1970s - 1980s)

Companies only obeyed environmental laws because they had no other ~~choice~~ choice.

Many Serious industrial disasters occurs arounds the world Such as :

- 1) Bhopal Gas Tragedy.
- 2) Chernobyl Disaster.

These disasters cause pollution, loss of life and environmental damage. As a result, governments introduced strict environmental laws.

Companies had to :

- 1) Install Pollution Control equipment.
- 2) Obtain Environmental Clearances.
- 3) Pay penalties if they violated laws.

At this stage Companies viewed environmental protection as a legal requirement, and an additional business cost, a responsibility of the legal department.

They did not believe Sustainability could improve profits or business growth.

Phase 2: Corporate Social Responsibility (CSR) (1990's).

Businesses realized that following the law alone was not enough. Their reputation also mattered.

Several Corporate Scandals showed that Companies could lose customers, investors, and public trust if they behaved irresponsibly.

Example included labour issues and environmental concerns.

A Company image depends on how responsibly it treats people and the environment.

Companies Started :

- 1) Supporting Community projects.
- 2) Protecting employees.
- 3) Donating to Social Causes.
- 4) Publishing Voluntary CSR reports.

~~Initially~~ Initially these reports mainly promoted the Company's good image. Later, investors and NGO demanded real facts and measurable data, not just positive stories.

For example :- A Company plants 5,000 trees and publishes a CSR report explaining its environmental efforts.

Phase 3: Structured Sustainability Reporting
(Late 1990s - 2015).

Companies started measuring sustainability using common international standards.

Instead of saying, "We care about the environment."

They had to provide actual numbers and evidence.

Imp Major Developments:

1) Global Reporting Initiative (GRI) - 1997.

GRI introduces international guidelines that helped Companies prepare Sustainability reports in a standard format. This allowed easy comparison between different Companies.

2) John Elkington introduced the Triple Bottom Line According to this idea, Companies should measure success in three areas:

- 1) Profit (Economic Performance)
- 2) People (Social Responsibility)
- 3) Planet (Environmental Protection)

This came to be known as Triple Bottom Line.

3) Securities and Exchange Board of India Introduced BRR in 2012 SEBI made Business Responsibility Reports (BRR) Compulsory for listed Companies. This was India's first major step towards Sustainability reporting.

For example :- Instead of saying "We reduced Pollution"
the Company reports:

- 1) Carbon emissions reduced by 15%.
 - 2) Water usage reduced by 20%.
 - 3) Employee training hours increased by 30%.
- This figures made the reports more reliable.

Imp Phase - 4 : Integrated ESG Mandate (2015 - Present)

Today Sustainability reporting has become much more detailed and Compulsive.

Companies must now report Environmental, Social and Governance (ESG) performance with accurate and measurable data. Investors use this information before investing.

Major global development.

1) United Nations Sustainability Development Goals (SDGs) - 2015

The United Nations introduced 17 Sustainable Development Goals to promote Sustainable development Worldwide. Companies now align their business activities with these goals.

2) Paris Agreement.

Companies agreed to reduced greenhouse gas emissions and fight Climate Change. Businesses also became responsible for reducing their environmental impact.

3) TCFD (2017)

The Task Force on Climate related Financial Disclosures encourages Companies to report:

1) Climate risk.

- 2) Climate opportunities.
- 3) Financial impact of Climate Change.
- 4) SEBI introduced BRSR (2021).

SEBI replaced BRR with business responsibility and sustainability reports (BRSR).

BRSR requires Companies to disclose

- A) ESG Performance.
- B) Sustainability Initiatives.
- C) Governance Practices.

- 5) IFRS S1 and IFRS S2 (2023).

These international standards provide a common framework for sustainability and climate related financial disclosures.

* What is ESG ?

ESG stands for :

- 1) E - Environmental : How the Company protects the environment.
- 2) S - Social : How the Company treats employees, Customers, and Society.
- 3) G - Governance : How the Company is managed ethically and transparently.

Phase	Time Period	Main Focus	Example
Environmental Compliance	1970s - 1980s	Follows environmental laws	Pollution Control to avoid Penalties
Corporate Social Responsibility (CSR)	1980s - 1990s	Build public trust and reputation	Community welfare, donations, CSR activities.
Structured Sustainability Reporting.	Late 1990s - 2015	Measure and report ESG Performance.	GRI, Triple Bottom Line, BRR.
Integrated ESG Mandate.	2015 - Present	Mandatory Sustainability Reporting.	SDGs, Paris Agreement, BRSR, IFRS S1 and IFRS S2.

1) Why Sustainability Has become a Core Business Concern?

Earlier, many people believed that Sustainability (Protecting the environment and society) was against business profits. They thought that if a company spent money on environmental or social activities, it would reduce the profits of shareholders.

This idea became popular because economist Milton Friedman (1970) said that the main responsibility of a business is to increase profits.

However, this view is incomplete. A company may earn profits by polluting rivers or harming the environment, but the cost of cleaning the pollution is borne by society, the government, and taxpayers. These are called external costs.

Later, these costs can become the company's responsibility through:

- Environmental Penalties and fines.
- Court Cases.
- Cancellation of licences.
- Damage to the company's reputation.
- Loss of customers, employees, and investors.

Therefore, Sustainability is not just about protecting the environment - it also helps businesses succeed in the long run.

Four Reasons Why Sustainability is important for business.

1) Risk Management.

Sustainability helps Companies reduce business risks.

Today, businesses face many risks such as:

- Floods
- Droughts
- Heat waves
- Cyclones
- Climate Change.

These problems can damage factories, interrupt production, and disturb Supply Chains.

Companies also face transition risks, such as:

- Carbon taxes
- Government rules on pollution.
- Restrictions on selling products in some countries.

A Company that identifies and manages these risks is in a much stronger position than one that ignores them.

2) Access to Capital (Getting Investment)

Today, investors prefer Companies that follow ESG (Environmental, Social and Governance) practices.

Large investors such as:

- Pension funds.

- Wealth funds.
- Asset Management Companies.

invest more in Companies with good sustainability Performance.

A Company with poor ESG practices may find it difficult to get investment.

A Company with good ESG performance can:

- Get loans at lower interest rates.
- Issue green bonds.
- Attract long-term investors.
- Reduce the cost of raising capital.

So, Sustainability helps Companies get funds more easily and at a lower cost.

3) Talent (Attracting Good Employees).

Today's young professionals prefer to work for Companies that care about:

- The environment
- Employees
- Society.

Companies known for pollution or unfair labour practices find it difficult to attract skilled employees.

Companies with a good Sustainability reputation:

- Attract talented people.
- Keep employees motivated.

- Perform better in the long run.
- Thus, Sustainability helps businesses build a strong workforce.

4) Social Licence to operate.

A Company needs the support and trust of the local community to operate smoothly.

If a Company:

- Protects the environment.
 - Works honestly.
 - Helps local communities.
 - Maintains good relationships with people.
- then it earns goodwill and public support.

This makes it easier to:

- Expand the business.
- Obtain government approvals.
- Solve problems through discussion instead of Court cases.

On the other hand, Companies that ignore community concerns may face:

- Public protests.
- Legal action.
- Delays in projects.
- Damage to their reputation.

Therefore, maintaining good relations with society is essential for long-term businesses.

Simple Summary.

Why has Sustainability become important for businesses?

- 1) Reduces business risks caused by Climate Change and government regulations.
- 2) Attracts investors and makes it easier to raise funds.
- 3) Helps recruit and retain talented employees.
- 4) Builds trust with Society, making business operations smoother and more successful.

In Short: Sustainability is no longer just about protecting the environment. It is an important business strategy that helps companies earn profits, reduce risks, attract investment and talent, and achieve long-term success.

1. Understanding the difference between CSR and Sustainability.

→ Introduction:

When Section 135 of the Companies Act, 2013 made CSR (Corporate Social Responsibility) Spending Compulsory, many people thought that CSR and Sustainability are the same.

This is not correct.

Although both aim to benefit society, CSR and Sustainability are different concepts and require different approaches from companies.

* What is CSR? (Corporate Social Responsibility).

→ CSR means that a company uses a part of its profit for the welfare of society.

According to Section 135 of the Companies Act, 2013, certain companies must spend at least 2% of their average net profits of the last three years on social welfare activities.

These activities include:

- Education
- Healthcare
- ~~Rural~~ Rural development
- Environmental Protection.
- Social welfare projects.

A Company can fulfill its CSR responsibility by :-

- Donating money
- Running welfare programmes
- Supporting NGOs or CSR foundations

Example :- A Company donates ₹ 50 lakh to build a school or plant trees.

— This is CSR.

* What is Sustainability ?

→ Sustainability is not about how much profit a Company donates.

It is about how the Company earns its profit.

A Sustainable Company:

- Protects the environment
- Treats employees fairly.
- Uses resources wisely.
- Follows ethical business practices.

It focuses on running the business responsibly every day.

Example to understand the difference.

Example 1 :- CSR but Not Sustainable.

A Cement Company :

- Donates 2% of its profit for tree plantation (CSR v)

- Pollutes the ~~air~~ air and rivers.
- Pays workers very low wages.

Although it has fulfilled its CSR requirement, it is not Sustainable because its business operations are harming the environment and Society.

Example 2 :- Sustainable but Limited CSR.

A Textile Company :

- Does not release polluted water into rivers.
- Pays employees fairly.
- Maintains workplace safety.
- Publishes its sustainability performance honestly.

If its profits are low, it may not come under the Compulsory CSR rules.

Still, it is a highly Sustainable Company because it runs its business responsibly.

* Important point.

CSR is important, but CSR alone does not make a Company Sustainable.

A Company must earn profits responsibly, not just donate a part of its profits.

* Why is this difference important?

→ For finance and accounting professionals:

CSR Performance is measured by:

- How much money was spent.
- Whether the Spending was properly documented.

Sustainability performance is measured by:

- Greenhouse Gas (GHG) emissions.
- Water usage.
- Employee safety.
- Diversity in the Board of Directors.
- Governance practices.

Investors and ESG rating agencies give more importance to these Sustainability indicators than only CSR Spending.

* Difference between CSR and Sustainability.

→ CSR (Corporate Social Responsibility).	Sustainability.
1) Gives back a part of profits to society.	Focuses on how profits are earned responsibly.
2) Measured by the amount spent on CSR activities.	Measured by ESG indicators like pollution, safety, water use, etc.
3) Mandatory under section 135 of the Companies Act, 2013 for eligible companies.	Driven by investors, regulators, customers, and market expectations.

CSR (Corporate Social Responsibility)

Sustainability

4) Handled mainly by the CSR department or foundation.	Involves every department such as production, HR, finance, purchasing, and management.
5) Focuses on outputs (money spent, number of beneficiaries).	Focuses on outcomes (reduced pollution, fewer accidents, improved community welfare).
6) Does not usually change the company's production process.	Requires changes in production, supply chain, product design, and business operations.

Simplest Summary:

- CSR means giving back a part of the company's profits to society through charitable and welfare activities.
- Sustainability means running the business in an environmentally, socially, and ethically responsible way.
- CSR is about spending profits, while sustainability is about earning profits responsibly.
- A company can do CSR without being sustainable, but a truly sustainable company integrates responsible practices into all its business activities.

* Easy Memory Trick:

- CSR = Share the profit
- Sustainability = Earn the profit Responsibly.

2) The Triple Bottom Line (TBL) - people, Planet and profit.

The framework and Its origins.

The Triple Bottom Line (TBL) Concept was introduced by John Elkington, a British Sustainability expert, in 1994. He explained it fully in his 1997 book 'Cannibals with Forks'.

* Why did he introduce TBL?

John Elkington believed that traditional accounting shows only the financial Profit of a Company. It does not show the damage caused to:

- The environment.
- Society
- Employees
- Future generations.

For example, if a factory pollutes a river, the Company's financial statements may still show high profits because the cost of pollution is not recorded in its accounts. However, society has to bear the cost of cleaning the river and treating health problems.

Therefore, he suggested that Companies should measure success not only by profit, but also by their impact on people and the planet.

* What is Triple Bottom Line (TBL)?

The Triple Bottom Line (TBL) is a Sustainability framework that measures a Company's performance in three areas:

1) Profit (Economic Performance)

- Measures the Company's financial performance.
- Includes profit, revenue, return on investment, and business growth.

Example :- A Company earns a profit of ₹ 50 Crore.

2) People (Social Performance)

- Measures how the Company treats employees, Customers, Suppliers, and Society.
- Focuses on employee welfare, fair wages, safety, and Community development.

Example :- A Company provides safe working conditions, ~~for~~ fair Salaries, and Supports local Schools.

3) Planet (Environmental Performance)

- Measures the Company's impact on the environment.
- Focuses on reducing pollution, saving water, reducing Carbon emissions, and proper waste management.

Example :- A Company uses solar energy and recycles wastewater.

• Main Idea of TBL

A Company is Considered truly Successful only when it Performs well in all three areas:

- Profit
- People
- Planet

A Company earning huge profits but harming people or the environment Cannot be Called Sustainable.

* What is Full-Cost Accounting?

One important idea of TBL is full-cost Accounting.

It means that a Company Should Consider all Costs, including:

- Environmental damage.
- Health Problems Caused to people.
- Social Costs.

Not just the expenses Shown in its accounting records.

Example: A factory Saves ₹ 50 lakh by releasing untreated wastewater into a river instead of treating it.

The Company reports higher profits.

However, the pollution Causes:

- Dirty drinking water.
- Death of fish

- Water treatment Costs.
- Health Problems for nearby people.

The total damage may be 10 times more than ₹ 50 lakh.

Under traditional accounting, only the Company's Saving is shown.

Under Full-Cost Accounting, the environmental and Social Costs are also Considered.

* Importance of Sustainability Reporting.

Today's Sustainability ~~reporting~~ reports try to show not only financial performance but also:

- Environmental Performance.
- Social Performance.

This gives a more Complete picture of a Company's actual Performance.

* How TBL Helps in Business Decisions.

TBL helps Companies make better investment and business decisions.

Before taking any major decision, Companies should ask:

1. What is the financial impact? (Profit).
2. What is the Social impact? (People).
3. What is the environmental impact? (Planet).

If all three impacts are positive, the decision is Considered Sustainable.

Examples:-

1. Example :- Factory project.

A factory ~~earned~~ earns high profits but pollutes a nearby river.

Later it faces:

- Public Protests.
- Government penalties.
- Loss of Customers.

Although it earned profits initially, it is not a good long-term investment.

2. Example :- Paying Low Wages.

A Company reduces costs by paying workers very low wages.

Initially:

- Profits increase.

Later:

- Employees resign.
- Product quality decreases.
- Customers lose trust.
- Government takes action.

In the long run, the ~~Company~~ Company suffers losses.

Simple Summary.

- Triple Bottom Line (TBL) was introduced by John Elkington in 1994.
- It measures business performance in three areas:
 - People - Social responsibility.
 - Planet - Environmental responsibility.
 - Profit - Financial Performance.
- TBL says that a company should earn profits without harming society or the environment.
- It promotes Full-cost Accounting, where environmental and social costs are also considered.
- TBL helps companies make better, responsible, and sustainable business decisions.

Easy Memory Trick.

Triple Bottom Line = 3 Ps

- People - Care for employees and society.
- Planet - Protect the environment.
- Profit - ~~Earn~~ Earn Profits responsibly.

Remember :- A Sustainable Company balances all three Ps - People, Planet, and Profit.

1.4 ESG - Concepts and Relevance to Accounting and Finance.

1. Understanding the ESG Framework

ESG Stands for:

E - Environmental (Environment).

S - Social (Society and People).

G - Governance (How a Company is managed).

ESG is a framework used to measure a Company's overall Performance, not only its profits but also how responsibly it works.

Financial statements tell us about:

- Revenue
- Profit
- Cash flow
- Expenses.

But they do not tell us:

- Whether the Company pollutes the environment.
- Whether employees are treated fairly.
- Whether the management is honest and transparent.

ESG Provides this missing information.

Investors use ESG to know:

- Is the Company Creating long-term value?
- Can the Company manage risks properly?
- Is the Company likely to perform well in the future?

ESG is NOT

Many people misunderstand ESG.

1. ESG is not ~~a~~ ranking of "Good" or "Bad" Companies. Different industries face different problems.

Example: A Coal mining Company should ~~for~~ focus on:

- Carbon emissions
- Worker safety.

A Software Company should focus on:

- Data Privacy.
- Cybersecurity.
- Employee wellbeing.

So, using the same ESG standards for every industry is unfair.

2. ESG is not the same as Ethics.

A Company may behave ethically but score ~~low~~ low on ESG because it has poor reporting systems.

Another Company may score high on ESG but still take some decisions that people consider unethical.

Therefore, ESG measures risks and opportunities, not morality.

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* Why has ESG become important?

Research has shown that Companies with good ESG Practices usually have:

- Lower business risk.
- Better financial Performance.
- Lower Cost of raising funds
- Better long-term growth.
- Better management quality.

Governments and regulators have also made ESG reporting Compulsory.

Examples:

- SEBI's BRSR
- IFRS S1 and S2

Today ESG reporting is becoming a legal and business requirement

2. The Three ESG Dimensions.

A. Environmental.

This Checks how the Company affects nature.

Examples:

- Energy Consumption
- Use of ~~renew~~ renewable energy.
- Water Usage
- Waste management and recycling.
- Biodiversity Protection
- Environmental law Compliance.
- Pollution control.

B. Social

This checks how the Company treats people.

Examples:-

- Fair wages
- Equal pay.
- Employee diversity.
- Human rights
- Safe working Conditions
- CSR activities.
- Product Safety.
- Customer Protection
- Data Privacy and Cybersecurity.

C. Governance.

This checks how the Company is managed.

Examples:-

- Executive Salaries.
- Independent audit Committee.
- Anti-Corruption Policies
- Whistleblower Policy :- It is a Policy that encourages employees or other people connected with an organisation to report any illegal, unethical activity without fear of punishment.

For ex:- A employee report that a manager taking bribes.

- Shareholder rights
- Risk management System.

8. Why ESG is important for Accounting and finance professionals.

Many Students think ESG is only the responsibility of:

- Environmental experts.
- HR managers.
- Sustainability officers.

This is wrong

Accountants play a very important role.

Every ESG report is prepared using data such as:

- Electricity bills.
- Fuel records.
- Accident reports.
- Salary records.
- CSR expenses.
- Board meeting records.

This information must be:

- Collected
- Checked
- Verified
- Combined
- Reported correctly.

These are accounting skills.

* ESG in financial Reporting

Many listed Companies in India must prepare BRSR reports.

These reports contain information such as :

- Greenhouse Gas ~~GHG~~ (GHG) emissions.
- Employee accident rates.
- CSR expenditure.
- Energy Consumption.

The data should be accurate because regulators and investors check it.

Accountants ensure that this information is correct.

ESG in Auditing.

ESG has created new career opportunities for auditors.

Sustainability audits require the same skills as financial audits :

- Risk ~~asse~~ assessment
- Evidence Collection
- Independent judgement
- Professional Scepticism.

Instead of checking only profits, auditors now also verify :

- Carbon emissions
- Governance disclosures.
- Employee safety
- Sustainability reports.

Because of this, there is a growing demand for Chartered Accountants with ESG knowledge.

* ESG in Investment Analysis.

Today investors use ESG information before investing.

An analyst studies:

- Carbon emissions.
- Water usage.
- Governance quality
- Environmental risks
- Social Practices.

This helps investors decide whether the company will perform well in the future.

Financial analysts who understand ESG have better career opportunities.

1.5. United Nations Sustainable Development Goals (SDGs)

1. The origin and Architecture of the 2030 Agenda.

* What are SDGs ?

In September 2015, leaders of 193 member countries of the United Nations (UN) met in New York and accepted a plan called the "2030 Agenda for Sustainable Development".

This plan includes 17 Sustainable Development Goals (SDGs).

These goals are common goals for all countries to make the world:

- Better
- Safer
- Healthier
- More equal
- Environmentally sustainable.

The aim is to achieve these goals by the year 2030. Businesses, governments, and people all have to work together to achieve them.

* How were SDGs developed ?

Before SDGs, there were Millennium Development Goals (MDGs) from 2000 to 2015.

The MDGs helped in:

- Reducing extreme poverty
- Reducing child deaths

• Increasing primary education in poor countries. However, they had some limitations:

- They focused mainly on developing countries.
- They treated social and environmental issues separately.
- They mainly placed responsibility on governments.

The SDGs improved these limitations because they:

- Apply to every country
- Connect economic, social and environmental development.
- Recognise that governments alone cannot achieve these goals.
- Encourage businesses and the private sector to contribute.

* Structure of SDGs

The SDGs have three levels:

1. Goals

These are 17 Sustainable Development Goals.

Examples:

- End Poverty
- Zero hunger
- Good health
- Quality education
- Gender equality
- Clean water
- Affordable clean energy
- Climate action
- Sustainable cities.

2. Targets

Each goal has specific targets.

There are 169 targets.

Targets explain what exactly needs to be achieved under each goal.

3. Indicators

There are 231 indicators.

Indicators measure whether progress is being made towards achieving the targets.

These indicators are also used in sustainability reporting like BRSR and GRI standards.

* Why are SDGs important for Accounting and Finance students?

SDGs are useful in three ways:

1. Companies identify relevant SDGs

Every company identifies which SDGs are connected to its business.

Example:

- A renewable energy company mainly supports SDG 7 (Affordable and Clean Energy).
- A hospital mainly supports SDG 3 (Good Health and well-being).

Companies mention this in their sustainability reports.

2. Investors use SDGs

Investors now check whether companies are helping achieve SDGs.

They look at:

- Environmental impact
- Social contribution
- Sustainable business practices.

This helps them make better investment decisions.

3. SDGs help companies decide priorities.

The SDGs help companies identify which sustainability issues are most important.

This improves:

- sustainability reporting
- stakeholder engagement
- long-term business planning.

* 17 Sustainable Development Goals (SDGs) with simple meaning.

SDG	Goal	Simple meaning
SDG 1	No poverty	Reduce poverty and improve people's standard of living.
SDG 2	Zero Hunger	End Hunger and provide nutritious food to everyone.

SDG 3

Good Health and
well-beingEnsure good health
and quality healthcare.

SDG 4

Quality Education

provide quality education
for everyone.

SDG 5

Gender Equality

Give equal rights and
opportunities to men and
women.

SDG 6

Clean water and
sanitationEnsure clean drinking
water and proper
sanitation.

SDG 7

Affordable and Clean
EnergyPromote clean, renewable
and affordable energy.

SDG 8

Decent work and
Economic growthCreate jobs and
support economic growth.

SDG 9

Industry, innovation
and infrastructureDevelop industries,
technology and infrastructure

SDG 10

Reduced inequalities

Reduce income and
social inequalities.

SDG 11

Sustainable cities
and communitiesmake cities safe, clean
and sustainable.

SDG 12

Responsible consumption
and productionReduce waste and use
resources responsibly.

SDG 13

Climate Action

Take action against climate change.

SDG 14

Life Below Water

Protect oceans and marine life.

SDG 15

Life on Land

Protect forests, wildlife and biodiversity.

SDG 16

Peace, justice and strong institutions

Promote peace, justice and honest governance.

SDG 17

Partnerships for the Goals

Countries, businesses and organisations should work together to achieve the SDGs.

2. Applying the SDGs in corporate practice

The SDG Compass was jointly developed by GRI, the UN Global Compact, and WBCSD. It provides companies with a five-step process to include SDGs in their business strategy and sustainability reporting.

Step 1: Understand the SDGs

A company should first understand all the 17 SDGs and identify which goals are most relevant to its business.

Different businesses have different priorities.

Example :

- A cement company will focus more on Climate Action (SDG 13) because it produces high carbon emissions.
- A pharmaceutical company will focus more on Good Health and well-being (SDG 3).
- A bank may focus more on Financial Inclusion (SDG 1) and Economic Growth (SDG 8).

The company should analyse :

- where does it have the biggest positive impact?
- where does it have the biggest negative impact?
- which SDGs are connected to these impacts?

This is called strategic analysis, not just matching SDGs with the business.

Step 2 : Set priorities

After identifying the relevant SDGs, the company should select 3 to 5 priority SDGs where it can make the biggest positive contribution.

The selection should be based on importance of impact, not on which goals are easier to report.

Example : A mining company may choose :

- SDG 13 - Climate Action.
- SDG 6 - Clean water and sanitation
- SDG 8 - Decent work and Economic Growth.
- SDG 15 - Life on land.

These are its priority SDGs because mining activities have the greatest impact on these areas.

A company should not ignore important SDGs just to show a better image. Doing so reduces the credibility of its sustainability report.

Step 3 : Set Goals.

After selecting the priority SDGs, the company should set clear, measurable, and time-bound targets.

Instead of saying:

"we support SDG 13".

It should say:

"we will reduce our scope 1 and scope 2 Greenhouse Gas (GHG) emissions by 30% by 2030 compared to 2022-23".

Specific goals help measure the company's progress.

Step 4 : Integrate SDGs into Business

The SDGs should become a part of the company's daily operations.

The company should include these goals in:

- Investment decisions.
- Performance evaluation
- Supply chain management
- Business planning.

This ensures that sustainability is followed in every business activity.

Step 5 : Report and Communicate

Finally, the company should disclose its SDG performance in its BRGR and sustainability Report.

The report should :

- show progress made towards the targets.
- Honestly disclose areas where targets have not been achieved.
- provide transparent information to investors and stakeholders.

Transparent reporting increases trust and credibility.

1.6 National Guidelines on Responsible Business Conduct (NGRBC).

Meaning and Background.

NGRBC stands for National Guidelines on Responsible Business Conduct.

- These guidelines were issued by the Ministry of Corporate Affairs (MCA) in March 2019.
- They explain how businesses in India should operate in a responsible, ethical and sustainable manner.
- NGRBC is an important foundation for BRSR (Business Responsibility and Sustainability Reporting).

Earlier Guidelines - NVG-SEE

Before NGRBC, India had the National Voluntary Guidelines on Social, Environmental and Economic Responsibilities of Business (NVG-SEE), introduced in 2011.

- NVG-SEE was India's first comprehensive framework for responsible business.
- It went beyond the traditional idea of CSR.
- It was also used as the basis for SEBI's Business Responsibility Report (BRR) introduced in 2012.
- However, by 2019, international standards had ~~been~~ developed further because of:
 - UN Sustainable Development Goals (SDGs).
 - Paris Agreement.

- UN Guiding Principles on Business and Human Rights.
- OECD Due Diligence Guidance.

Therefore, NGRBC was introduced to bring Indian businesses in line with these modern international Standards.

Importance of Human Rights

One major change in NGRBC is the greater importance given to human rights.

- Human rights are given a ~~se~~ separate principle 5.
- Companies are expected to identify and manage human - rights risks in their business and supply chains.
- Human - rights violations are considered not only an ethical issue but can also create financial and business risks.
- Companies should conduct human right due diligence, meaning they should regularly identify, assess and solve human rights problems.

* Essential Practices and Leadership practices.

NGRBC divides practices into two levels:

1. Essential Practices

These are the minimum requirements that a company should follow to be considered responsible.

2. Leadership Practices.

These are ~~the~~ higher-level practices expected from Companies that want to ~~be~~ become leaders in responsible and sustainable business.

Simple example:

Essential Practices = minimum standard to be followed
Leadership Practices = Going beyond the minimum and ~~become~~ becoming an example for others.

— This two-level system also connects with the BRSR's:

- Essential Indicators.
- Leadership Indicators.

* 9 Principles of NGRBC.

Principle 1 - Ethics, Transparency and Accountability.

Simple meaning: Businesses should work honestly, ethically and transparently and should take responsibility for their actions.

It includes:

- Preventing Corruption.
- Preventing bribery.
- following laws and regulations.
- Whistle-blower ~~red~~ mechanisms.

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Example :- A Company should not give or accept bribes to get a business Contract.

Principle - 2 - Sustainable products and Services.

Simple meanings:-

Businesses should provide products and services that are safe and environmentally sustainable.

It includes :

- Product Safety.
- Sustainable Product life cycle
- Sustainable Sourcing of raw materials.
- Research and development for sustainability.
- Proper disposal of products.

Example :- A Company producing electric appliances should design them to use less energy and create less waste.

Principle - 3 - Employee Well-Being.

Simple meaning:-

Businesses should take care of the health, safety and well-being of their employees and workers, including workers in their supply chain.

It includes:

- Occupational health and safety (OHS).
- Proper wages and benefits.
- Employee training.
- Diversity and inclusion.
- Complaint / ~~gave~~ grievance mechanisms.

Example :- A Company should provide employees with a safe workplace and proper safety equipment.

Principle - 4 - Stakeholder Responsiveness.

Simple meaning :-

Businesses should understand and respect the interests of all Stakeholder and respond to their concerns.

Stakeholders can include:

- Employees.
- Customers.
- Investors.
- Suppliers.
- Government.
- Local Communities.

It includes:

- Identifying Stakeholders.
- Communicating with Stakeholders.
- Solving their complaints and grievances.

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Example :- If Customers Complain about a product, the Company Should listen to them and take Corrective action.

Principle - 5 - Human Rights.

Simple meaning :-

Businesses Should respect and protect human rights.

It includes :

- Identifying human - rights risks.
- Taking action when rights are violated.
- Providing remedies to affected people.
- Ensuring suppliers and business partners also follow human rights.

Example :- A Company Should not allow Child labour or forced labour in its factories or supply chain.

Principle - 6 - Environment.

Simple meaning :-

Businesses Should protect and restore the environment and reduce their negative environmental impact.

It includes :

- Reducing greenhouse gas (GHG) emissions.
- Saving energy.

- Saving water.
- Managing waste
- Protecting biodiversity.
- following environmental laws.

Example :- A Company can reduce pollution by using renewable energy and recycling waste.

Principle - 7 - Policy Advocacy.

Simple meaning :-

Businesses should participate in government and policy-making processes in a responsible and transparent manner.

It includes:

- Responsible lobbying.
- Disclosing lobbying activities.
- Responsible behaviour through industry associations.

Example :- If a company gives suggestions about a new government policy, it should do so honestly and transparently.

Principle - 8 - Inclusive Growth.

Simple meaning :-

Businesses should contribute to inclusive growth and equal development of society.

It includes :

- CSR activities.
- Development of local Communities.
- Buying from local Suppliers.
- Measuring the social impact of business activities.

Example :- A Company may support education or Skill - development programmes in local Communities.

Principle - 9 - Customer Responsibility.

Simple meaning:-

Businesses should treat Customers responsibly and provide them with safe and good-quality products and services.

It includes:-

- Product Safety.
- Honest advertising and marketing.
- Protection of Customer data.
- Solving Customer Complaints.

Example :- A Company should not make false claims in advertisements or misuse Customers' personal information.

1. What Sustainability Reporting Actually is.

→ Meaning of Sustainability Reporting.

Sustainability reporting means a Company reports information about its performance in three areas:

- Environmental (E) - Pollution, greenhouse gas emissions, water usage, waste, etc.
- Social (S) - employees, safety, labour practices, Communities, etc.
- Governance (G) - board of directors, rules, ethics, transparency, etc.

In Simple words:-

Sustainability reporting is the process through which a Company measures, reports and takes responsibility for its environmental, social and governance (ESG) performance.

A Sustainability report gives both quantitative information (numbers and measurements) and qualitative information (descriptions and explanations).

This information helps:

- Investors.
- Employees.
- Customers.
- Regulators.
- Communities.
- Other stakeholders.

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to make informed decisions about the Company.

* Why is accountability important?

Financial reports mainly provide information to Shareholders and lenders about how their money is being used.

But Sustainability reporting has a wider responsibility. It provides information not only to investors but also to employees, ~~Communit~~ Communities, regulators and even future generations.

For example, people living near a factory may want to know:

"How much harmful waste is the factory releasing into our water?"

Even if they do not have a legal right to demand this information, they have a genuine interest in knowing it.

Therefore, Sustainability reporting respects both:

- Legal Claims - information that stakeholders have a legal right to receive.
- Moral Claims - information that stakeholders reasonably deserve to know.

2. Justifications for Sustainability Reporting.

There are four major reasons why Sustainability reporting is important.

1. It gives a more complete picture of Company performance.

Traditional financial statements show only financial transactions such as:

- Sales.
- Purchases.
- Borrowings.
- Repayments.
- Expenses, etc.

But a Company's activities can create many effects that are not shown in financial statements.

Examples:

- A Company produces greenhouse gas emissions → creates climate-related costs.
- A Company uses a large amount of water → affects a shared natural resource.
- A factory releases harmful chemicals → may affect the health of workers and nearby people.

These effects may not immediately appear as expenses or liabilities in financial statements.

Sustainability reporting makes these hidden economic and environmental effects visible.

Therefore:

It provides a more complete picture of the Company's actual performance and risks.

2. Risk Disclosure

Sustainability reporting helps a Company identify and manage risks before they become serious problems.

While preparing a sustainability report, the Company has to systematically:

Identify → Measure → Report → Manage risks.

Example:

Suppose a Company measures its water consumption and compares it with information about water shortages in the area.

It may discover that its operations are at risk because of future water scarcity.

The Company can then prepare a plan before the problem becomes serious.